

Submission ACCT1-PS2-SUB06

Question ACCT1-PS2-Q01

notation changes halfway:

1. Dr Cash 399; Cr Service Revenue 399
2. Dr Supplies 508; Cr Accounts Payable 508
3. Assets increase by cash+supplies; liabilities increase by payable; equity increases by revenue.

marks, subscripts, and units are mixed up

result written as: Dr Cash 399/Cr Revenue 399; Dr Supplies 508/Cr A/P 508; A=L+E remains balanced (please interpret)

Question ACCT1-PS2-Q02

notation changes halfway:

1. Monthly revenue $\approx 739/6 \approx 123$
2. Dr Unearned Revenue 123; Cr Service Revenue 123
3. Remaining liability ≈ 616

marks, subscripts, and units are mixed up

result written as: Dr Unearned Revenue 123; Cr Revenue 123; liability=616 (please interpret)

Question ACCT1-PS2-Q03

notation changes halfway:

1. Assets $\approx$ Liabilities + Equity
2. Equity $\approx 2177-564 \approx 1613$
3. The equation must balance after every recorded transaction.

marks, subscripts, and units are mixed up

result written as: equity=\$1613; assets=liabilities+equity (please interpret)

Question ACCT1-PS2-Q04

notation changes halfway:

1. Current ratio $\approx 1233/1096 \approx 1.12$
2. Above 1 means current assets exceed current liabilities, not that all assets are cash.

marks, subscripts, and units are mixed up

result written as: current ratio=1.12; assets exceed liabilities if ratio>1 (please interpret)

Question ACCT1-PS2-Q05

notation changes halfway:

1. Cash receipt before performance does not by itself create earned revenue.
2. Record contract liability/unearned revenue, then recognize revenue as the performance obligation is satisfied.

marks, subscripts, and units are mixed up

result written as: record unearned revenue first; recognize revenue as performance occurs (please interpret)

Question ACCT1-PS2-Q06

notation changes halfway:

1. Dr Cash 755; Cr Service Revenue 755

2. Dr Supplies 281; Cr Accounts Payable 281

3. Assets increase by cash+supplies; liabilities increase by payable; equity increases by revenue.

marks, subscripts, and units are mixed up

result written as: Dr Cash 755/Cr Revenue 755; Dr Supplies 281/Cr A/P 281; A=L+E remains balanced (please interpret)

Question ACCT1-PS2-Q07

notation changes halfway:

1. Monthly revenue $\approx 914/6 \approx 152$

2. Dr Unearned Revenue 152; Cr Service Revenue 152

3. Remaining liability ≈ 762

marks, subscripts, and units are mixed up

result written as: Dr Unearned Revenue 152; Cr Revenue 152; liability=762 (please interpret)

Question ACCT1-PS2-Q08

notation changes halfway:

1. Assets $\approx$ Liabilities + Equity

2. Equity $\approx 1289-473 \approx 816$

3. The equation must balance after every recorded transaction.

marks, subscripts, and units are mixed up

result written as: equity=\$816; assets=liabilities+equity (please interpret)